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✦ FREE PRACTITIONER GUIDE

Salary vs Dividend How to Pay Yourself Tax-Efficiently

A practical guide for UK limited company directors — the optimal salary levels, how dividends are taxed after the April 2026 rise, and worked examples you can apply this week.

2026/27 EDITION | UK · HMRC RATES | WORKED EXAMPLES

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Updated for the
Autumn Budget 2025 changes

INTRODUCTION

Why this decision matters more in 2026/27

If you run a UK limited company, the mix of **salary** and **dividends** you take is one of the few levers fully in your control — and getting it right can be worth thousands a year in take-home pay.

For years the answer was simple: take a small salary, top up with dividends. That core strategy still wins for most directors — but from **6 April 2026 the gap narrowed**. Dividend tax rates rose by 2 percentage points, so the "dividend advantage" is smaller than it was, and the numbers deserve a fresh look.

> **What changed on 6 April 2026**
>
> Confirmed at the Autumn Budget 2025: the **basic dividend rate rose from 8.75% to 10.75%** and the **higher rate from 33.75% to 35.75%**. The additional rate stays at 39.35%, and the dividend allowance stays at just £500.

The two ways money leaves your company

Salary (PAYE)

Employment income. Subject to Income Tax and National Insurance — but it is a **tax-deductible business expense**, so it reduces Corporation Tax.

Dividends

Paid from post-tax profit to shareholders. Lower tax rates and **no National Insurance** — but **not** deductible for Corporation Tax.

That trade-off — NI & CT relief on salary versus lower personal rates on dividends — is the entire game. The rest of this guide shows you how to balance it.

REFERENCE

Key figures — 2026/27 tax year

Tax year runs 6 April 2026 to 5 April 2027. Same rates apply across England, Wales & Northern Ireland (Scotland differs on income tax bands, not on dividends).

ALLOWANCE / THRESHOLD	2026/27	NOTES
Personal Allowance	£12,570	Frozen. Tapers £1 per £2 over £100,000
Basic rate band (to)	£50,270	Higher rate begins above this
Dividend allowance (0%)	£500	Unchanged
Employee NI primary threshold	£12,570	8% to £50,270, then 2%
Employer NI secondary threshold	£5,000	Employer NI at 15% above this
Lower Earnings Limit (State Pension)	£6,708	Salary at/above earns a qualifying year
Employment Allowance	£10,500	Not for single-director companies

DIVIDEND TAX RATE	2025/26	2026/27
Basic rate	8.75%	**10.75%**
Higher rate	33.75%	**35.75%**
Additional rate	39.35%	39.35%

Corporation Tax (for context)

Small profits rate **19%** (profits up to £50,000); main rate **25%** (over £250,000); **marginal relief** applies in between. Salary reduces these profits — dividends do not.

CHAPTER 1

Setting your salary: the three options

Most directors set salary at one of three deliberate levels. The right one depends on whether you can claim the Employment Allowance (you generally **cannot** if you're the sole director with no other employees).

SALARY LEVEL	INCOME TAX	EMPLOYEE NI	EMPLOYER NI*	STATE PENSION YEAR?
£5,000 = secondary threshold	£0	£0	£0	No — below LEL
£6,708 = Lower Earnings Limit	£0	£0	~£256	Yes
£12,570 = Personal Allowance	£0	£0	~£1,136	Yes

*Employer NI shown for a company that **cannot** claim the Employment Allowance. If you can claim it, the £10,500 allowance wipes out the employer NI on a £12,570 salary entirely.

Which should you pick?

£12,570 — most common

BEST FOR

Most directors. The full salary is deducted against Corporation Tax (saving 19–25%), which generally outweighs the employer NI cost — even for sole directors who pay the ~£1,136 NI.

WATCH

You must run a PAYE scheme and report through RTI.

£6,708 — the simple route

BEST FOR

Sole directors who want a qualifying State Pension year with minimal employer NI, or those with other income using the Personal Allowance.

WATCH

You give up some Corporation Tax relief vs £12,570.

Rule of thumb

Can claim Employment Allowance? → **£12,570**, no contest. Sole director, no EA? → **£12,570 still usually wins** on the maths, but £6,708 is a valid simpler choice. Have other income already using your Personal Allowance? → keep salary low (£5,000–£6,708).

CHAPTER 2

How dividends are taxed in 2026/27

After salary, you draw the rest of your income as dividends from retained profit. Here's the stacking order HMRC uses.

- Dividends sitting inside any **unused Personal Allowance** (up to £12,570) — taxed at **0%**.
- The next **£500 dividend allowance** — taxed at **0%**.
- Dividends up to the £50,270 basic-rate ceiling — **10.75%**.
- Dividends between £50,271 and £125,140 — **35.75%**.
- Dividends above £125,140 — **39.35%**.

> **Quick cost check**
>
> For every £1,000 of dividends above your allowances in the basic band, the tax bill is now **£107.50** — up from £87.50 in 2025/26. In the higher band it's **£357.50** per £1,000, up from £337.50.

Three compliance rules that catch directors out

- **Distributable profit only.** A dividend can only be paid from retained post-tax profit. Pay one without it and it's an illegal (ultra vires) dividend.
- **Paperwork.** Hold a board meeting, minute the decision, and issue a dividend voucher for each payment — even as a sole director.
- **Report it.** Dividends go on your Self Assessment return; tax is due by 31 January following the tax year.

CHAPTER 3

Worked examples

All three assume a sole director/shareholder, £12,570 salary, no other income, and dividends drawn from available profit. Figures are rounded and illustrative.

Example A — £30,000 total income target

COMPONENT	AMOUNT	PERSONAL TAX
Salary	£12,570	£0
Dividend in £500 allowance	£500	£0
Dividend taxed at 10.75%	£16,930	£1,820
Total drawn	**£30,000**	**£1,820**

In 2025/26 the same draw cost ~£1,481 in dividend tax — the 2% rise adds roughly £339.

Example B — £50,000 total income target (top of basic rate)

COMPONENT	AMOUNT	PERSONAL TAX
Salary	£12,570	£0
Dividend in £500 allowance	£500	£0
Dividend taxed at 10.75%	£36,930	£3,970
Total drawn	**£50,000**	**£3,970**

Staying at or under £50,270 keeps every dividend in the 10.75% band — crossing it jumps the next slice to 35.75%, more than triple the rate.

Example C — £70,000 target (into higher rate)

COMPONENT	AMOUNT	PERSONAL TAX
Salary	£12,570	£0
Dividend in £500 allowance	£500	£0
Dividend at 10.75% (to £50,270)	£37,200	£3,999
Dividend at 35.75% (£50,270–£70,000)	£19,730	£7,053
Total drawn	**£70,000**	**£11,052**

Planning insight

The single biggest saving is usually keeping total income at or below **£50,270**. If a household has two shareholders, splitting shares so each uses their own basic-rate band can dramatically cut the combined bill — subject to the settlements rules.

CHAPTER 4

Your action plan

Work through this each tax year — ideally before April, then review mid-year.

- [ ] Confirm whether you can claim the **Employment Allowance** (do you have a second employee?).
- [ ] Set salary: **£12,570** if claiming EA or if the CT relief beats the NI; otherwise £6,708.
- [ ] Register for **PAYE** and report salary through RTI each period.
- [ ] Check the company has enough **distributable profit** before declaring any dividend.
- [ ] Keep total income **at or below £50,270** unless you specifically need more.
- [ ] For each dividend: **board minute + dividend voucher**, dated and filed.
- [ ] Consider **pension contributions** — employer contributions are CT-deductible and carry no NI.
- [ ] Review whether a **second shareholder** (e.g. spouse) can use an unused basic-rate band.
- [ ] Set aside cash for the **31 January** Self Assessment payment on your dividends.
- [ ] Revisit the plan if your profit, income, or the rates change.

Don't forget pensions

An employer pension contribution from the company is often the most tax-efficient pound you can extract: deductible against Corporation Tax, no income tax, and no National Insurance — it simply moves into your pension rather than your pocket today.

The one-line summary

Low salary + dividends still wins in 2026/27 — take a salary up to £12,570 (or £6,708 if simpler), draw the rest as dividends, and keep total income under £50,270 where you can. The dividend rise just made the margin a little thinner, not gone.

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